

because price trends upward in the pennant instead of declining. In that regard, the pennant is unusual, but it is still a pennant.

A key to this trade is the flat base. It started in early 1999, and a portion of it appears in the figure. Many technical traders look for this type of situation—a heavy volume breakout after a long horizontal move. They say that the longer the base, the more powerful the move up. Based on this example alone, I would have to agree.

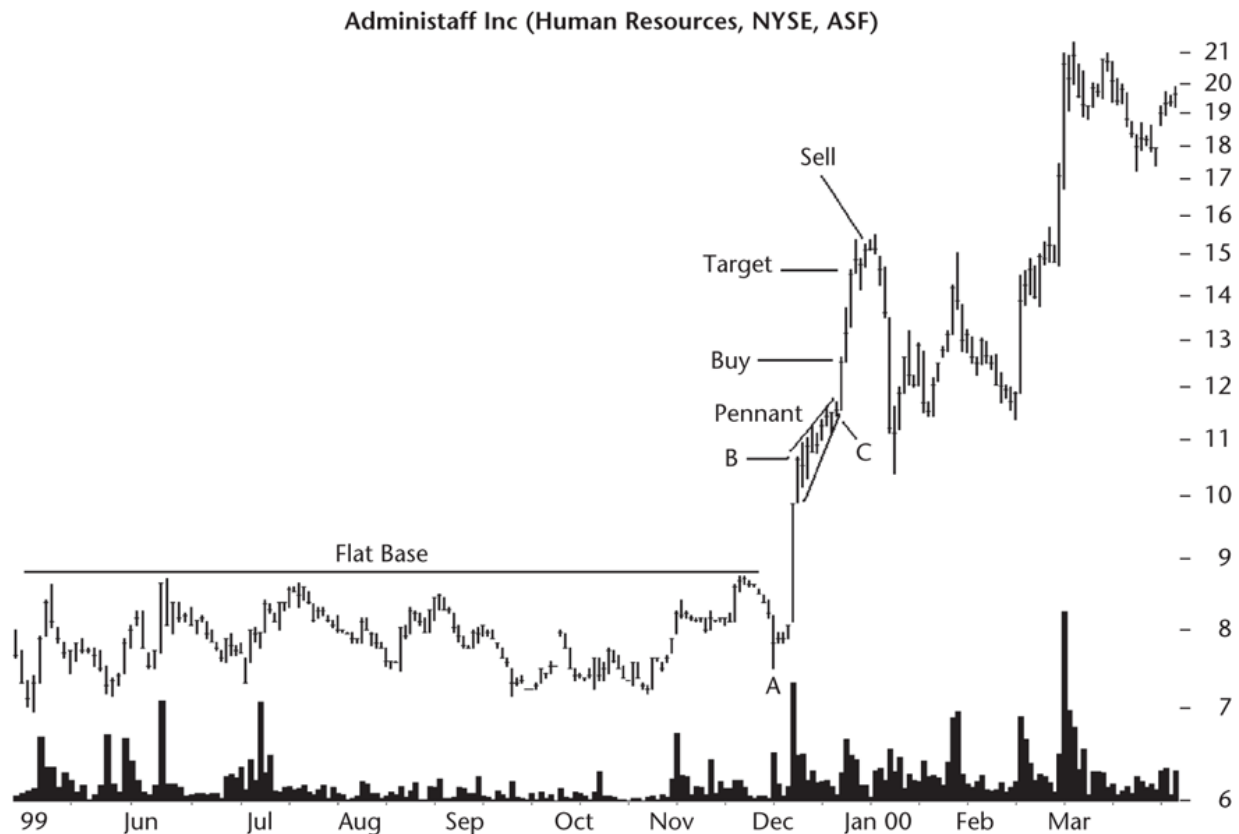


Figure 48.6 Use the measure rule to predict a price target. Take the difference from the low at point A (the trend start) to the high at B (the pennant start) and project it upward from the low at C (before the breakout).

You can see how price punched through the base's ceiling on high volume and then coasted higher, forming the pennant. Once price shot out the top (a close outside the pennant trendline), the stage was set for a trade.

Many technical traders would have entered this trade on the breakout from the base (when price closed above the base's top), allowing them to profit on the ride up. Using the pennant as a measure rule sell signal would be a